in AL's
cash = ba
same

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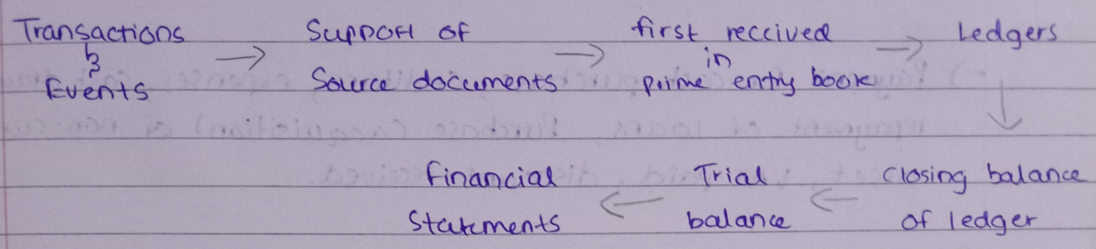
4) Prime Entry Books and ledger Accounts

Basic financial Accounting Cycle / Process


Transactions & Events
Support of Source documents
first received in prime entry book
Ledgers
closing balance of ledger
Trial balance
Financial Statements

Prime Entry books are the book where business transactions and events are recorded to the first time. Books of prime entry, books of original entry, day books, journals are few other names for prime entry books.

01. Cash Receipt Journal
02. Cash payment Journal
03. Petty Cash payment Journal
04. Purchase Journal
05. Purchase Return Journal / Return Outward Journal
06. Sales Journal
07. Sales Return / Return inward journal
08. General Journal

01. Cash receipt Journal - receipts of cash
* Source document - Receipts / Receipts voucher, deposit slip.

→ cash receipt from sales, debtors, other income, Capital / BI received, Sale (disposal) of non-current asset, VAT cash receipt, discount given. ٤

02. Cash payment journal - Payment of cash (execpt for petty cash payments).
Source document - Payment voucher / Cash payment voucher, counterfoil

-) Payment for cash purchase, creditors, expenses, cash drawings, repayment of loans, Purchase (acquisition) of non-current asset, VAT paid, discount received.

(chinna chinna payments)
03. Petty Cash Payment Journal - Petty cash payments (payments with small values) of a bs is recorded for 1st time

Source document - Petty cash voucher

-) Stationery, travelling, small other, sundry etc.

04. Purchase Journal - Credit purchase of goods / stock / inventory / main trading item ~~as~~ in a bs (trade goods) is recorded.

Source document - Purchase invoice

From creditor when return creditor debit, so
05. Purchase Return / Return outward Journal - Credit purchase of goods / stock / inventory return transactions are recorded

Source document - Debit Note
- In AIL's it is assumed only credit purchase of main stock can be returned.

06. Sales Journal - Credit sales of main trading good transactions of a bs recorded.

Source document - Sales invoice

07. Sales return / Return inward journal - Credit Sale return transactions are recorded.

Source document - Credit Note

- In AIL's it is assumed only credit Sales can be returned.

08. General Journal - Where any transaction not recorded in any of above prime entry books.

Source document - Journal Voucher

→ Opening entries, Adjustments (Bad debt, depreciation, doubtful debt), Correction of entries, Entries to purchase of PPE on credit, Sale on credit disposal and exchange, Closing entries, Notes for posting to ledger, other notes

Cash Purchase main item - Cash payment Journal
Credit Purchase main item - Purchase Journal
Cash Purchase Other item - Cash payment Journal
Credit Purchase Other item - General journal

Cash sale main item - Cash receipt Journal
Credit Sale main item - Sales Journal
Cash Sale other item - Cash receipt Journal
Credit Sale other item - General journal

Importance Of Prime Entry Books

→ Similar transactions are recorded in same book
→ Can minimize errors and ommissions
→ To minimize number of entries posted to ledger accounts because PR totals are only recorded in LA.

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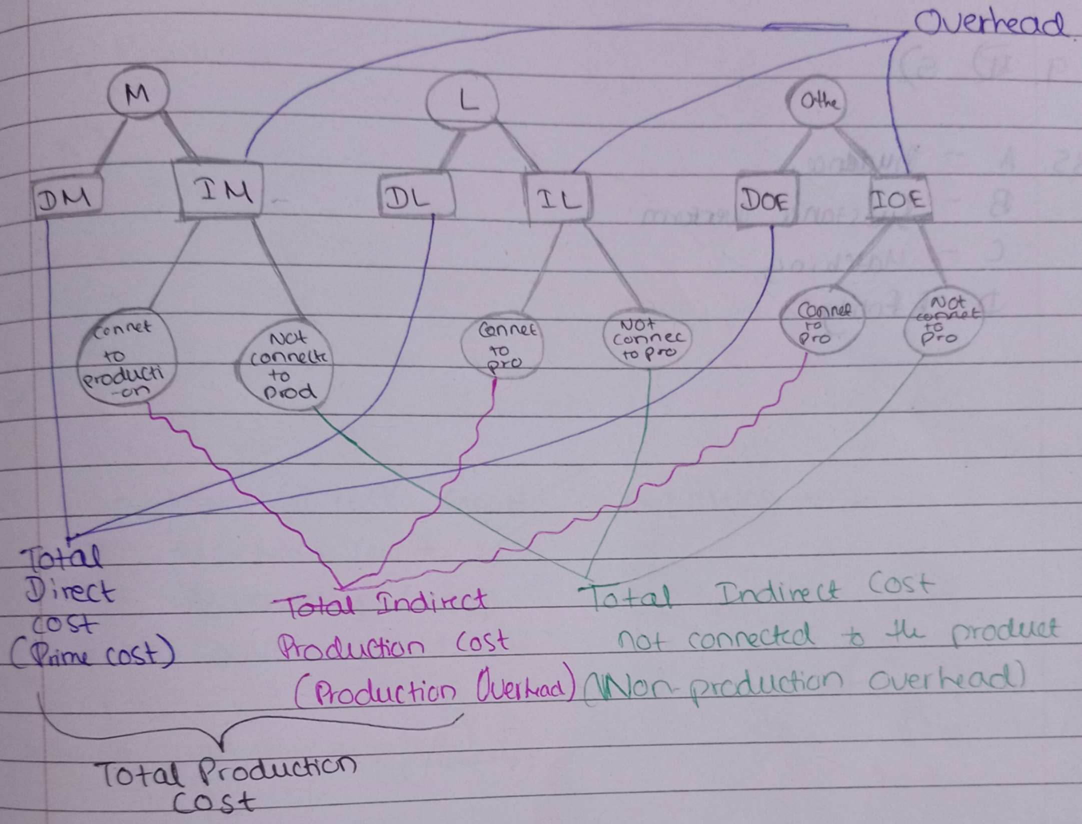
8-20 marks

07) Manufacturing Business


Overhead
M
L
Othe
DM
IM
DL
IL
DOE
IOE
Connet to producti-on
Not connecte to prod
Connet to pro
Not connec to pro
Connet to pro
Not connet to pro
Total Direct cost (Prime cost)
Total Indirect Production cost (Production Overhead)
Total Indirect Cost not connected to the product (Non-production overhead)
Total Production cost

Cost Card

DM
DL
DOE
Prime cost
+ POH
Total Production Cost
+NPOH
Total Cost